IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

C A (CAA) 28 (ND) of 2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

ABHISAR BUILDWELL PRIVATE LIMITED,
98, Okhla Industrial Estate Phase-III, New Delhi -110020
CIN No. U70101DL2006PTC146854
PAN: AAFCA6845D
Income Tax Jurisdiction: Central Circle 29 Jhandewalan Extension, New Delhi-110055

.....Applicant No. 1/Transferor Company

AND

DHARAMPAL SATYAPAL LIMITED,
98, Okhla Industrial Estate Phase-III, New Delhi -110020
CIN No. U52110DL1989PLC038613
PAN: AAACD0132H
Income Tax Jurisdiction: Central Circle 29 Jhandewalan Extension, New Delhi-110055

.....Applicant No. 2/Transferee Company

ORDER DELIVERED ON: 11.05.2022

CORAM:
MR. ABNI RANJAN KUMAR SINHA, MEMBER (JUDICIAL)
MR. HEMANT KUMAR SARANGI, MEMBER (TECHNICAL)

PRESENT:-

For Petitioner(s): Adv. Satwinder Singh

ORDER

PER: MR. ABNI RANJAN KUMAR SINHA, MEMBER (Judicial)

1. This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act following prayers have been made for orders:-

a) *dispensation from convening meetings of equity shareholders and secured creditors of the Applicant Companies;*
b) *dispensation from convening meeting of unsecured creditors of the Applicant Company-1;*
c) *directions for convening meeting of unsecured creditors of the Applicant Company-2 on May 14, 2022 at Delhi either physically or virtually;*
d) *issue of notices to the Central Government through Regional Director (Northern Region), Ministry of Corporate Affairs; Registrar of Companies, National Capital Territory of Delhi and Haryana; Official Liquidator, attached to the Delhi High Court; Income Tax Department having jurisdiction over the respective Applicant Companies in terms of the provisions of section 230(5) of the Companies Act, 2013 read with rule 8 of the Companies (Compromises, Arrangement and Amalgamations) Rules, 2016, as required under Section 232(1) of the Companies Act, 2013, before obtaining sanction of this Hon'ble Tribunal to the Scheme;*
e) *allow this present joint application; and*
f) *Passing such other and further orders as are deemed necessary in the facts and circumstances of the case.*

2. Affidavits in support of the application sworn for and on behalf of the Applicant Company 1 have been filed by Mr. Deepak Aggarwal and Applicant

Company 2 have been filed by Mr. Sanjay Aneja being the authorized signatories (Page 46-51).

3. It is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is further represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. It is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be 01.04.2021 (Page 32).

5. In relation to the Transferor Company, it has been represented that the company has 7 Equity Shareholders as on 14.03.2022 and consent affidavits from all the shareholders have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (Page 188-218). We are further apprised that the Transferor Company has no Secured Creditor as on 28.02.2022 (Page 219) and 10 Unsecured Creditors having an outstanding balance of Rs. 1,91,75,770/- as on 28.02.2022 whose consent affidavits have been obtained. The consent affidavits of each of the members have been placed on record (Page 220-280). In relation to the equity shareholders, secured creditors and unsecured creditors of the Transferor Company, the Transferor Company seeks dispensation from convening and holding of their respective meetings on the ground that all the shareholders have given their consent affidavits in favour of the Scheme.

6. In relation to the Transferee Company, it has been represented that the company has 20 Equity Shareholders as on 14.03.2022 and consent affidavits from all the shareholders have been obtained constituting 100% in

value and 100% in number. The consent affidavits of each of the members have been placed on record (Page 449-536). We are further apprised that the Transferee Company has 8 Secured Creditors having an outstanding balance of Rs. 10,61,69,00,000/- as on 28.02.2022 and consent affidavits from all the secured creditors have been obtained constituting 100% in value and 100% in number. The consent affidavits of each of the members have been placed on record (Page 537-613). We are further apprised that the Transferee Company has 1908 Unsecured Creditors having an outstanding balance of Rs. 2,23,69,64,599/- as on 28.02.2022 whose consent have not been obtained. In relation to the shareholders and secured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all the shareholders have given their consent affidavits in favour of the Scheme. In respect of Unsecured Creditors, the Transferee Company has prayed to convene the meeting.

7. We have heard the Ld. Counsel for the Applicant Companies and perused the application and the connected documents filed along with the Scheme of Arrangement contemplated between the Companies.

8. Transferor Company- ABHISAR BUILDWELL PRIVATE LIMITED was incorporated on 27.02.2006 in the state of Delhi under the provisions of Companies Act, 1956 and is engaged in the business of manufacturing and sale of heat resistance rubber latex thread which was wide applications in various products like inner wear, sportswear, skirts, shorts, travel goods, diapers, wrist bands, head bands, socks and surface furnishings etc. and was extended arm for the Transferee Company for the purpose of carrying on its business. The authorised share capital of the Company is Rs. 7,50,00,000/- divided into 75,00,00,000 equity shares of Rs. 10 each. The issued, subscribed and paid-up share capital of the Company is Rs. 67,60,97,280/- divided into 6,76,09,728 equity shares of Rs. 10/- each.

9. Transferee Company/Demerged Company- DHARAMPAL SATYAPAL LIMITED was initially incorporated as a private company under the provisions of the Companies Act, 1956 on 11.12.1989 and was changed to

public limited company vide fresh certificate of incorporation dated 13.03.2002 issue by the Registrar of Companies, NCT of Delhi and Haryana and is engaged in the business of (a) manufacture, production, sale and distribution of pan masala, perfumery, confectionary, mouth freshener, (b) manufacture, production, sale and distribution of gold and silver foil items; and (c) manufacture, production, sale and distribution of dairy and related products. The authorised share capital of the Company is Rs. 1,09,00,00,000/- only divided into 10,90,00,000 class A equity shares of Rs. 10 each and Rs. 8,00,00,000/- only divided into 80,00,000 class B equity shares of Rs. 10 each and Rs. 4,00,00,000/- only divided into 40,00,000 10% redeemable preference shares of Rs. 10 each. The issued, subscribed and fully paid-up share capital of the Company is Rs. 21,51,43,090/- divided into 2,15,14,309 Class A equity shares of Rs. 10/- each and Rs. 6,19,54,430/- divided into 61,95,443 Class B equity shares of Rs. 10/- each.

10. It is seen that the Board of Directors of all the Applicant Companies vide meeting held on 14.03.2022 have unanimously approved the proposed Scheme of Arrangement. Copies of such resolutions passed thereat have been placed on record (Page 185-186).

11. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021 and provisional financial statements for the period 1st April, 2021 to 31st December, 2021 (Page 113-184 and Page 321-445).

12. The Applicant Companies have submitted vide Affidavit dt. 22.03.2022 that no inspection, inquiry or investigation is pending against any of the Applicant Companies (Page 665-670).

13. Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the

scheme is in conformity with Section 133 of the Companies Act, 2013 (Page 281-283 and 662-664).

14. In sequel to above, in our considered view, the Tribunal, in view of the settled law, is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors, having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement. Accordingly, the following directions are given: -

A. **In relation to the Transferor Company:**

i. **With respect to Shareholders:**
It is represented by the Transferor Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. **With respect to Secured Creditors:**
There is no Secured creditor in the company and therefore, the requirement of convening meeting of Secured creditors does not arise.

iii. **With respect to Unsecured Creditors:**
It is represented by the Transferor Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

B. **In relation to the Transferee Company:**

i. **With respect to Shareholders:**
It is represented by the Transferee Company that all the shareholders have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

It is represented by the Transferee Company that all the Secured Creditors have already placed their consent-affidavits on record. Therefore, the necessity of convening and holding a meeting is dispensed with.

iii. With respect to Unsecured Creditors:

The meeting of Unsecured Creditors of Transferee Company is directed to be held through Video Conferencing/Other Audio Visuals Means within 30 days of this order in Delhi. The Quorum of the meeting shall be 75% in value. Venue and time of the meeting will be decided by the Chairperson.

15. In case the quorum as noted above for the aforesaid meetings are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Applicant Companies at least 48 hours before the meetings. The Chairperson and Alternate Chairperson appointed herein alongwith the Scrutinizer shall ensure that the proxy registers are properly maintained.

16. In terms of Rule 5 of Company (Arrangement and Amalgamation) Rules 2016 Mrs. Tulika Mukherjee, Mobile No.- 9999234412, Advocate is appointed as the Chairperson, Mr. Paryan Sharma, Advocate is appointed as Alternate Chairperson and Mr. Parvindra Nautiyal (PCS) as Scrutinizer for the aforementioned meetings in terms of direction issued herein

17. The fee of the Chairperson for the aforesaid meetings shall be Rs. 1,00,000/-. The fee of the Alternate Chairperson shall be Rs. 75,000/- and the fee of the Scrutinizer shall be Rs. 50,000/- in addition to meeting their incidental expenses.

18. The individual notices of the said meetings shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of arrangement and a copy of explanatory statement. The notice convening meeting shall be uploaded on the website of the respective Applicant Companies not less than 30 days before the date fixed for the meeting in terms of Rule 7 of the companies (Arrangements and Amalgamation) Rules 2016. The prescribed form of proxy shall be sent along with and in addition to the above documents, any other documents as may be prescribed under the Act.

19. That the Applicant Companies shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Financial Express (English)" and "Jansatta (Hindi)" stating that the Copies of the Scheme, the Explanatory Statement required to be furnish pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provide free of charge at the Registered Office of the Applicant Companies.

20. Voting shall be allowed on the proposed Scheme by voting in person or by proxy or through electronic means as may be applicable to the respective companies under the Act and rules framed there under. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

21. Notice of this Meeting shall also be served on the following authorities:-

a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card numbers, ward numbers and assessing officers so that timely and proper reply may be filed.

e. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the Applicant Companies.

22. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

23. **Accordingly, in terms of the above order, CA (CAA) 28 (ND) of 2022 is allowed.**

-Sd-

(HEMANT KUMAR SARANGI)
Member (T)

-Sd-
11-05-2022

(ABNI RANJAN KUMAR SINHA)
Member (J)